

The Australian economy finished 2025 on a strong note

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By Pat Bustamante

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The December quarter National Accounts showed the economy expanded 2.6% over 2025, more than double the pace recorded in both the 2023 and 2024 calendar years. Momentum was broad-based driven by business investment, particularly in data centres and renewable energy, alongside housing construction and government spending on defence and other capital projects. As a result, both consumption and GDP per capita returned to growth after contracting over the preceding few years.

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